

more economically effective package. All of the customer's money goes into investments instead of Mercedes-Benzes for salesmen.

But beyond that, the no-load investor has to do his or her own research rather than rely on a broker, and that's a healthy exercise. Someone who has gone to the trouble of collecting and studying prospectuses and then made a careful decision about which funds to be in has convinced himself of the rightness of those funds for himself. He then has a vested interest in his decision and tends to be loyal to the funds he's chosen. He doesn't keep switching funds on the advice of some newsletter guru, so that he's always backing last year's winner. And he's more likely to stay with his manager when the market sours instead of jumping into a money market fund and then missing half of the market's rebound.

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Because the no-load fund investor does his own research rather than relying on a broker, he's more likely to retain confidence in his funds when the market turns nasty.

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The truth of the matter is, mutual fund shareholders aren't as performance conscious as one would think looking at the endless rankings in the press. Your average investor doesn't spend his Sunday afternoons comparing his fund's performance to the S&P 500, and doesn't really care whether his fund ranked sixth or eleventh or twenty-second last month, and isn't upset because he might have squeezed out another 3 percent if he'd been in Fund X instead of Fund Y. He figures Fund X simply took more risk. He's done his research, he trusts his manager, and he knows for sure that manager is going to do better running a portfolio than he would himself. So he's content.

The performance derby, I've found, with all the hoopla it gener-